

1. Introduction

This document is Part 2 of 2 for Mastercard mandate MCS-2026-R3 and contains the normative technical specification. Read in conjunction with Part 1 (MCS-2026-R3), which covers mandate overview, brand rules, and certification. The changes in this document are effective on the **Mastercard** network as of **2026-07-01**; JPMC internal compliance deadline is **2026-09-30**.

2. ISO 8583 Message Format Changes

2.1 New Data Elements

The following new data elements are introduced in ISO 8583:2003 authorization (MTI 0100/0110) and financial request (MTI 0200/0210) messages for **Mastercard** transactions effective 2026-07-01:

DE	Field Name	Type/Length	Presence	Description
DE 48.66	Token Requestor ID	N-11	Conditional	TRID assigned by MDES to the wallet/device. Required when DE 2 is an MD
DE 48.77	Digital Wallet Indicator	AN-2	Conditional	Wallet type: 01=Apple Pay, 02=Google Pay, 03=Samsung Pay, 04=Masterpa
DE 48.78	Token Assurance Level	N-2	Conditional	Integer 00–99 from MDES vault indicating strength of token binding. Required
DE 48.79	Device Type	AN-2	Optional	00=POS terminal, 01=Mobile handset, 02=Wearable, 03=IoT device, 04=Bro

2.2 Modified Data Elements

DE	Field Name	Change	Detail
DE 61.8	POS Environment	Value extended	Bit 3: value '3' now = Soft POS (COTS device running certified payment app). Previous
DE 104	Transaction Description	Length + encoding	Max length: 25 → 40 bytes. Encoding: ASCII → UTF-8. Truncate at 40 bytes (not cha
DE 55	ICC System-Related Data	New mandatory tag	EMV tag 9F6E (Enhanced Contactless Reader Capabilities, 4 bytes) is now mandato
DE 48.10	Mastercard Assigned ID	Scope extended	Now also required on Maestro transactions in EU/EEA region. Previously Mastercard

3. Interchange Fee Schedule

3.1 Revised Consumer Credit Tiers (effective 2026-07-01)

Interchange fees are remitted acquirer-to-issuer via the Mastercard Interchange System (MIS). MCS-2026-R3 restructures consumer credit tiers to reflect MDES token presence and enhanced contactless eligibility. The 'Token Enhanced' column applies when DE 48.78 Token Assurance Level $\geq$ 50:

Product	Transaction Type	Standard Rate	Token Enhanced Rate	Effective
MC World Elite	Card-Present	2.10% + \$0.10	1.95% + \$0.10	2026-07-01
MC World Elite	Card-Not-Present	2.40% + \$0.10	2.15% + \$0.10	2026-07-01
MC World	Card-Present	1.90% + \$0.10	1.75% + \$0.10	2026-07-01
MC World	Card-Not-Present	2.20% + \$0.10	1.95% + \$0.10	2026-07-01
MC Standard	Card-Present	1.65% + \$0.15	1.65% + \$0.15	2026-07-01
MC Standard	Card-Not-Present	1.85% + \$0.15	1.85% + \$0.15	2026-07-01
Debit MC	PIN Debit	0.05% + \$0.21	0.05% + \$0.21	2026-07-01
Maestro	PIN Debit	0.05% + \$0.21	0.05% + \$0.21	2026-07-01

Acquirers MUST update interchange qualification logic to populate DE 48.78 where applicable so that eligible token transactions receive the reduced 'Token Enhanced' rate. Failure to populate DE 48.78 will result in Standard rate assessment regardless of actual token assurance. Retroactive interchange adjustments are not processed.

4. Transaction Routing Rules

4.1 Banknet Endpoint Selection

Routing to Mastercard Banknet uses the BIN-first lookup in Mastercard BIN Table (MBT) v2026-Q2. The routing handler MUST: (1) extract the 6-digit BIN from DE 2; (2) resolve to network ID and product type in MBT; (3) select the Banknet authorization endpoint (primary or STIP) based on product type and Regulation II routing preference. Routing decisions MUST be immutable once made — mid-transaction re-routing is prohibited except on documented primary-endpoint timeout ($\geq$ 4000ms). The selected network ID and reason code must be written to the transaction audit record within 200ms of routing decision.

4.2 Regulation II (Durbin) Routing for Debit Mastercard

US Debit Mastercard and Maestro transactions are subject to Regulation II (Durbin Amendment, 12 CFR Part 235). JPMC MUST ensure: (a) at least two unaffiliated networks are available for PIN debit; (b) the routing selection logic evaluates merchant preference (terminal flag), issuer routing preference (DE 55 ICC data), and cost optimization (interchange tier) in that priority order; (c) no routing exclusivity arrangement that limits merchant choice is implemented. The routing decision rationale must be preserved in the audit ledger for Federal Reserve examination (minimum 3-year retention).

4.3 MDES Token Routing

Transactions presenting MDES tokens (BIN 520000–529999 in DE 2) MUST be routed exclusively to the Mastercard Banknet MDES gateway (endpoint ID MCB-MDES-01). These transactions MUST NOT be routed to acquirer-side processing or alternate debit networks. The MDES gateway performs de-tokenization and forwards the real PAN to the issuer. Any routing path that bypasses MCB-MDES-01 for token BIN ranges will result in a hard decline with Response Code 58 ('Transaction not permitted to terminal').

5. Reporting and Downstream Data Obligations

5.1 Daily Settlement Report (DSR) Format Changes

Effective 2026-07-01, the DSR submitted to Mastercard Settlement Services by 06:00 UTC must use the new format: (a) Product Code field extended from 2 to 4 characters using MBT v2026-Q2 codes; (b) a new 'Token Flag' column (Y/N) based on DE 48.77 presence; (c) wallet-type breakdown sub-section required when any token transactions are present in the batch (DE 48.77 codes 01–05 each reported separately). DSR files failing format validation will be rejected and the batch placed on settlement hold pending resubmission.

5.2 Regulation II Quarterly Compliance Report

Quarterly Regulation II compliance reports are due to Mastercard Compliance by the 15th of the month following each quarter end (Apr 15, Jul 15, Oct 15, Jan 15). Required fields: transaction count and interchange paid by network, routing override count with justification codes, and a certification statement from the acquirer's Chief Compliance Officer. Reports are filed via Mastercard Connect → Compliance → Reg II Quarterly Filing. These reports feed Mastercard's downstream analytics platform and are subject to Federal Reserve audit.

5.3 MDES Token Coverage Reporting

Monthly MDES token coverage reports must be submitted by the 5th of each month for the prior month. The report must include: (a) total transaction count; (b) token transaction count (DE 48.77 present); (c) token assurance level distribution (buckets: 0–9, 10–49, 50–99); (d) DE 48.66 TRID population rate. Mastercard will use these metrics to assess compliance with MAC Level 2 certification requirements and to identify acquirers at risk of interchange downgrade. First report due 2026-10-05 covering September 2026.

6. Effective Dates and JPMC Internal Deadlines

Network effective date for all changes in this document: **2026-07-01**. Transactions processed on or after 2026-07-01 must comply with the new message format, interchange qualification, and routing rules. JPMC internal UAT sign-off deadline: **2026-06-20** (10 business days before network effective date). Full compliance deadline (MAC Level 2 + production monitoring gate C3): **2026-09-30**. See Part 1 (MCS-2026-R3) for the full milestone table.

7. Normative References

- Mastercard Rules, April 2026 edition, Sections 5.7, 9.3
- ISO 8583:2003 Financial transaction card originated messages — interchange message specifications
- Mastercard Digital Enablement Service (MDES) Acquirer Implementation Guide v5.2
- Mastercard BIN Table (MBT) v2026-Q2
- Mastercard Settlement Services Daily Settlement Report Format Guide v2026-07
- Regulation II (12 CFR Part 235) — Federal Reserve Debit Card Interchange Fee Standards
- EMV Contactless Kernel C-3 (MCK) v3.1
- Part 1 of this mandate: MCS-2026-R3 (Mandate Overview, Brand Rules & Certification)